



Income Statement

Lists all the sales and expenses incurred by the company during the year resulting in net profit or loss.



Balance Sheet

List all that the company owns [assets] and owes [liabilities] at a given point of time.



Cash Flows

List of Cash Inflows and Outflows from the company during the year.

We have learned how to interpret annual reports in previous chapters. Now we will discuss the income statement, balance sheet, and cash flows.

We will first understand these three items, go deeper in the same with financial analysis and ratio analysis.